

Enabling Innovation

Establishing an Enterprise Core Competency
with Innovation

Agenda

IC = Innovation Center

- ☐ Overview
 - ☐ Strategy & Vision
 - ☐ Positioning IC w/in the organization
 - ☐ Strategic Roadmap for the IC
 - ☐ Business Proposal for Launch
-

- ☐ Aligning Tactical with Strategic
- ☐ IC Benefits
- ☐ IC Challenges
- ☐ IC Deliverables
- ☐ IC Opportunities
- ☐ IC Service Model

First, a few key definitions...

❑ There are 4 principle areas of Innovation:

- Products / Services
- Process
- Marketing
- Management

❑ A concept must have 2 of 3 elements:

- Must provide a **Benefit** to customers
- Must be **Technically** feasible
- Must have a **Form** factor (minimally a model)

Reasons to Consider an Innovation Center

- ☐ The organization needs to raise its innovation output
- ☐ Need to obtain management support, recognition and funding to encourage innovation and ensure it flourishes
- ☐ Need to move innovation from a “cottage industry” of communication silos to a core competency based on collaboration across all areas
- ☐ Need a place where ideas can be incubated and nurtured so they can grow into concepts that will yield significant value
- ☐ Need to ignite and leverage the innovation potential within the organization and amongst partners and customers
- ☐ Need a way to funnel ideas into our organization so they can be operationalized and/or commercialized.
- ☐ Need to develop a customer focus discipline to align ideas with customer needs.

Overview

- ❑ The Innovation Center (IC) is a safe haven for ideas to be incubated and nourished, where new processes and technologies can be tested and applied in new and creative ways to deliver incremental value to the healthcare customers (providers and receivers = patients) around the world.
- ❑ It's a place where collaboration and open communications are foundational competencies for the experts and participants who take ideas from concept to reality to deliver practical and applicable products and services.

Strategy & Vision

- ❑ **The IC is based upon a Hub & Spoke model, where the some of the spokes already exist today and the hub would be the glue that binds these spokes together while providing support and guidance to each spoke.**
 - A decentralized model would allow for separate innovation teams to operate autonomously while receiving the necessary support from the hub when needed.
 - The IC leverages our current investments in innovation while providing a repeatable model for expanding innovation throughout other areas of the company.
 - The hub also helps to overcome existing barriers in communications and adoption while providing educations and assistance to other areas who wish to pursue ideas that will impact products, services, management and processes.

Strategy & Vision

□ VPI (VP of Innovation):

- This person would need to be an extravert, who has great business development skills and is on CEO's staff.
- The VPI is the IC lead and the focal point for the spokes to provide support and enable ideas to germinate.
- The VPI also spearheads collaboration across the corporate silos.
- The VPI needs to have a rapport with the CEO as a “trusted partner”.
- This relationship would be manifested in 3 ways:
 - First, the CVPI would have open and ready access to the CEO to “prime the pump” for new ideas and to ensure that innovation is at the forefront of the CEO's agenda.
 - Second, the CEO would be able to run issues/problems that he is facing by the VPI whom he knows could focus resources from one (or more) of his IC Teams to resolve.
 - Third, the VPI would be able to gain access to resources to support one or more ideas in the pipeline and obtain support from the CEO to remove barriers (should the need arise).

Strategy & Vision

❑ Hub:

- The hub is a permanent team, which is staffed by a business leader (VPI). The hub will have a few staff providing support services for the VPI and business development services for the spokes.
- There may also be a need for part-time Legal assistance to assist with patent reviews, patent filings and periodic reports comparing the organization's pipeline of patents compared with our competitors. This person will also be responsible for tracking and managing all IP associated with the IC as part of the organization's growing IP portfolio.
- The hub also will serve as a Center of Excellence to define IC principles, provide training for all IC Team leads and staff (to ensure the IC staff is highly trained and fully competent to achieve success) and is responsible for promoting the 8 S's

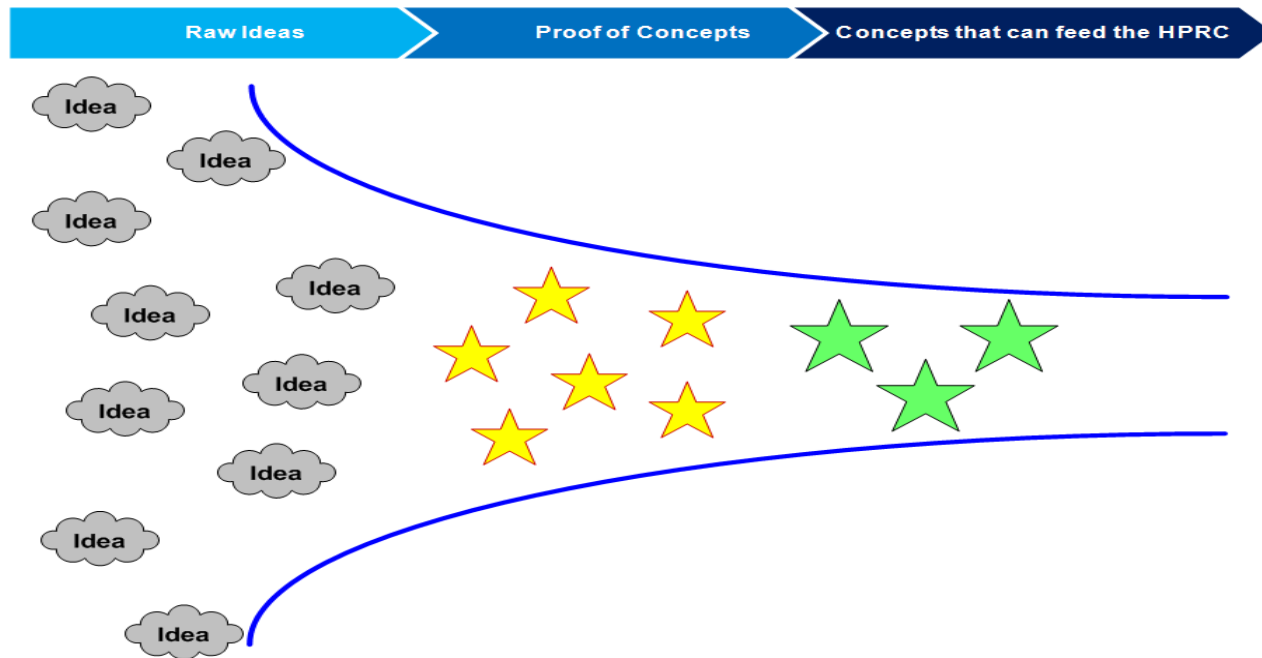
Strategy & Vision

❑ Spokes:

- Each IC spoke will have one person assigned as the innovation lead with the responsibility and accountability to deliver on new ideas for his/her respective domain using the IC ideation process.
- That spoke may consist of additional staff depending on the number of ideas that require review and/or have been approved (via the idea screening tool) to enter the pipeline.
- Spokes may be initiated once one or more ideas are brought forth in each domain. A spoke lead is identified by the VPI and the IC hub will assist the spoke lead in securing funding and resources to assist the spoke in coming online.
- The spoke lead will provide planning, collaboration and research to build consensus and move the idea through the ideation process.
- The IC hub may also assist the spoke lead in building a cross-functional team of resources and help build momentum for an idea when necessary.

Ideation Process

- ❑ This is a new process that will be used to identify raw ideas, warehouse them for future reference and screen them for their potential application and value against environmental conditions that allow an idea to germinate and produce value for the organization.



Positioning the IC w/in the organization

- ❑ **We examined functional roles within 6 service areas (see below) that the Innovation Center would provide once established.**

- ❑ **Service Areas:**
 - Idea Generation
 - Leadership
 - Collaboration
 - Education
 - Support
 - Idea Delivery

Investment Review

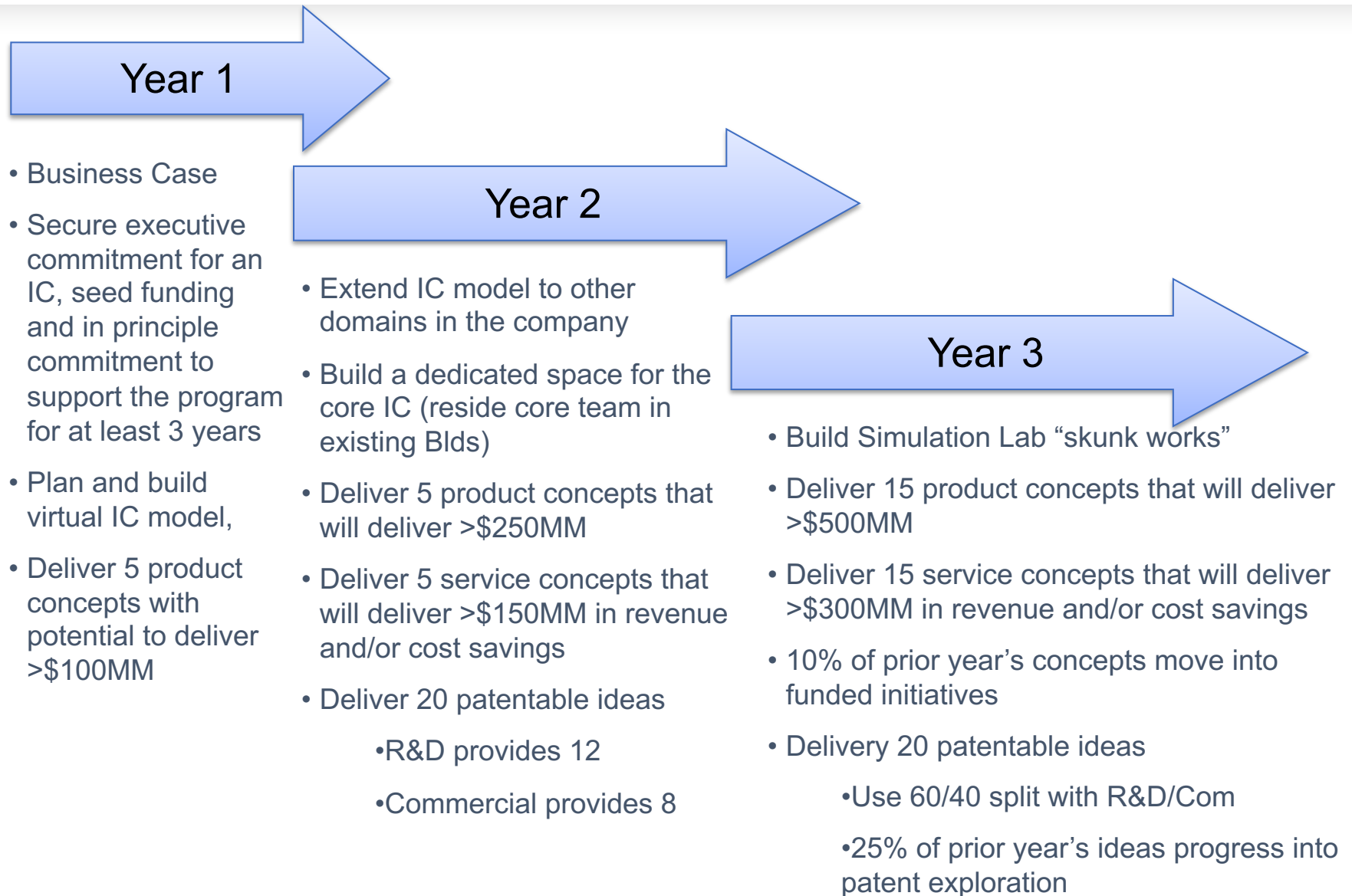
- ❑ Since we already have a few spokes up and running, we just need to fund the IC Hub, support ongoing innovation in the existing spokes and be prepared to support additional spokes (as corporate areas gear up to pursue innovation on a go forward basis).
- ❑ **Here's the breakdown:**
 - Funding the IC Hub
 - Appointment of the SVPI
 - Allocation of legal staff on as needed basis for '07
 - Purchase of ideation management tool
 - Funding of initial Proof of Concepts for ideas in pipeline

Investment Review

❑ Here's the breakdown (cont.):

- Support ongoing innovation in existing spokes
 - List out the ideas in the pipeline that require POC funding
 - xxxx
 - xxxx
 - xxxx
- Support future innovation expansion (new spokes)
 - IC Spoke (Technology)
 - IC Spoke (Sales)
 - IC Spoke (Marketing)
 - IC Spoke (Manufacturing)

Proposed Strategic Roadmap for the IC



Business Proposal for the Launch

- ❑ Layout the initial groundwork for the IC for launch and use the current period to begin planning the portfolio of ideas.
- ❑ Pursue funding on an incremental basis ...eventually reaching a comfortable level with sr. mgmt. (leverage the drug development assessment model as a baseline for the upfront planning to get buy-in).
- ❑ Obtain a clear understanding of the company's strategy to ensure we setup the IC and how we approach ideas going forward.
- ❑ Leverage the company strategy to put together a project plan for the launch

Appendix

Benefits

Challenges

Deliverables

Opportunities

8 S's for Innovation

Idea / Opportunity Management

Building an Innovation Environment

IC Benefits

- ❑ Lower costs (30-40%) of enterprise research and knowledge acquisition.
- ❑ Improve acquired knowledge quality.
- ❑ Increase enterprise innovation quotient.
- ❑ More timely results – quicker to market or minimize losses (fail-fast).
- ❑ Respond faster and better to competitive market offerings.
- ❑ Enable burst-mode R&D capacity (special, difficult short-duration projects).
- ❑ Capabilities of advanced technology and domain expertise without major capital investment of time, technology and staff.
- ❑ Liberate and re-deploy valuable enterprise resources to focus on critical issues.
- ❑ Manage and leverage innovation for greater enterprise value creation.
- ❑ Delivery models can range from staff, tool and technique augmentation to complete turn-key innovation projects

IC Challenges

- ☐ Support by CEO on down
 - Funding
 - Communications
- ☐ Positioning in the organization
- ☐ Acceptance by the organization domain management
- ☐ Access to the “right” stuff (idea cross-pollinators, key staff with leadership and out-of-the-box thinking)
- ☐ Overcoming the corporate “Fear Factor” (need to allow folks to fail as part of idea discovery)

IC Deliverables

- ❑ A place to focus ideas across Products & Services
- ❑ A place to focus on improving processes within and w/o functional domains
- ❑ A place free (or well insulated from) politics and bureaucracy
- ❑ A place where everyone's ideas will be heard and recognized
- ❑ A place where ideas can be studied and cataloged for future implementation (lest they be forgotten or worse destroyed)
- ❑ The Innovation Center can provide a lightening rod for re-energizing the company
- ❑ The Innovation Center can provide Marketing and BU leads with a powerful new sales & marketing tool
- ❑ The output from the Information Center can be used to funnel into the PMO and Demand Portfolios across the company
- ❑ The IC will show the company how to be aggressive, take risks and reach tremendous goals while failure is abundant.

IC Opportunities

- ☐ Change the corporate culture (eliminate fear)
- ☐ Drive bottom line revenue by 20% each year
- ☐ Position the organization as a leader in innovation
- ☐ Create an accelerated delivery model for ideas
- ☐ Cross pollinate level 5 thinking across the company
- ☐ Inspire participation by all areas of the company
- ☐ Create a more agile company for delivering healthcare products and services

8 S's of Innovation Management

1. Strategy (3 types):

- Corporate strategy defines what business or businesses the firm is in or should be in and how the firm will conduct that business (or those businesses) in a fundamental way.
- Business strategy describes how a firm will compete in a specific business. A firm's business strategy is its major plan of action aimed at gaining a sustainable advantage over competitors. Relative differentiation and relative low cost are the two most frequently suggested generic business strategies.
- Functional strategies support the business strategy. Functional strategies in the areas of marketing, finance, operations, human resources management, information systems management, and R&D should be aligned with the business strategy. Strategies are formulated to achieve organizational purposes, for example, goals and objectives. Organizational purposes are discussed as part of strategy.

8 S's of Innovation Management

2. Structure:

- The organization's structure consists of five parts: jobs, the authority to do those jobs, grouping of jobs in logical fashion, the manager's span of control, and mechanisms of coordination. The first four of these parts are normally shown in an organization chart. The last is usually described in the firm's operating policies and procedures.

3. Systems:

- The systems, processes and flows that show how an organization gets things done from day to day, for example, information systems, capital budgeting systems, manufacturing processes, quality-control systems, performance measurement systems.

4. Style (leadership/management style):

- The consistent pattern of behavior exhibited by a manager when relating to subordinates and other employees.

8 S's of Innovation Management

5. Staff:

- The number of employees with certain individual skills the firm needs to meet its goals.

6. Resources:

- Availability of adequate resources to achieve the strategy (R&D, technology, software, knowledge management, and organizational learning) and the extent to which those resources are leveraged.

7. Shared values (organizational culture):

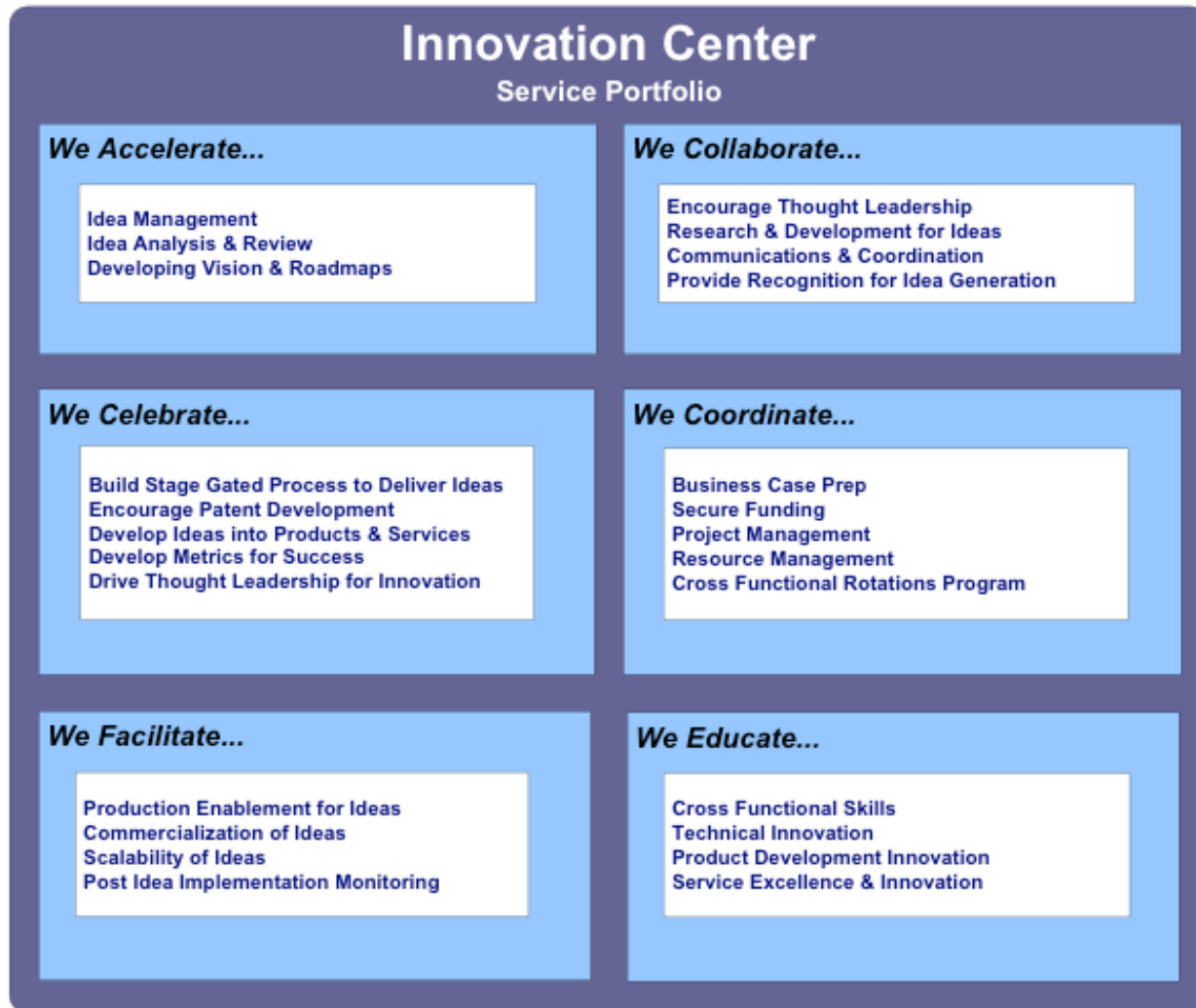
- The values shared by members of the organization that make it different from other organizations.

8. Strategic Performance (Derived from the prior 7 S's):

- It is measured for the unit undergoing this analysis. Usually a profit center, but it could also be a revenue or cost center.

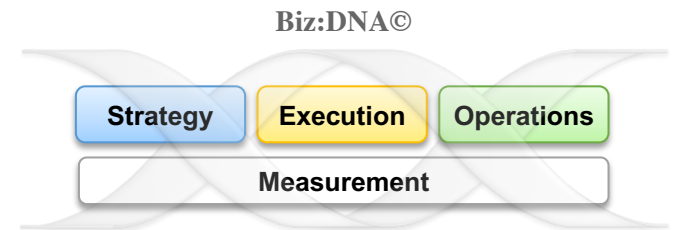
Source: Adapted by James M. Higgins from Robert H. Waterman, Jr., "The Seven Elements of Strategic Fit." *Journal of Business Strategy* (Winter 1982), p. 71. Some definitions have been modified to make them more consistent with general management terminology. The eighth S, Sources, has been added.

IC Services



Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



Phone: (847) 261-4332

Online: www.enablingvalue.com